

successful:

- It is important to keep costs as low as possible. This is the easiest way to earn risk-adjusted excess return (alpha).
- One should diversify broadly, and not just by picking stocks with different names having similar characteristics. One should diversify with respect to company size, investment style, industry concentration, and other biases.
- It is not easy to beat the market. Very few investors do. Replicating the market portfolio may be a good thing.

Based on these realizations, I decided to quit the brokerage business. It no longer made sense for me to be a stock jockey saddling investors with high costs and overconcentrated portfolios trying to beat similar accounts handled by other stock jockeys to an ever-elusive finish line.

I saw there were now two options left for me with respect to professional investment management. The first was to become an efficient marketeer, which sounded similar to being a Mickey Mouseketeer and, to me, was no less silly. I viewed efficient markets like I viewed Ptolemaic astronomy, with both based largely on a priori assumptions. My second option, according to those in academic finance at that time, was to become like Don Quixote, tilting at the windmills of efficient market theory.

EFFICIENT MARKETS

By the mid-1970s, the efficient market hypothesis (EMH) had made a strong impression on the minds of otherwise sensible people. EMH is the belief that prices of stocks fully reflect all publicly available information about them. This means that no one can expect to beat the market consistently.

I had toyed briefly with the EMH idea. I applied and was accepted into the finance PhD program at the University of Chicago, which was the bastion of EMH. However, I never attended due to frightening thoughts I